
“KONTRABIDA ANG BIDA”: AN AUTHORITY DISCREPANT WITH THE LOCAL GOVERNMENT CODE OF 1991

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The environment and ecological health play a pivotal role in the Philippines, being significant to other facets of the country in terms of disaster mitigation and climate action, but most especially in economic growth through sustainable tourism. Branded as an archipelagic country that boasts more than 7,000 islands, the best beaches, and breathtaking mountains with rare endemic wildlife, it is an understatement to claim the imperative role of the country's environmental condition.

Many parts of the Philippines have been developed through sustainable tourism in relation to the environment. The promotion of the regional economy through creating an alternative source of income has generated foreign exchange, hence benefiting the primary industry. The Philippine national government, local authorities, and private capital in various sectors are involved in tourism development¹ and thus render several legislations to endeavor its protection for the national interest. Nevertheless, these statutes are not far from being imperfect, hampering other laws and bringing socio-political implications. This includes the proposal for the establishment of the Boracay Island Development Authority.

House Bill No. 9826

Among the many legislations proposed in the Philippines that have the environment as its focal point is House Bill No. 9826 – An Act Creating the Boracay Island Development Authority (BIDA)², Defining its Powers and Functions, and Providing Funds Therefor. The said bill was proposed before the House of Representatives, co-authored by the likes of Davao Representative Paolo Duterte, Anti-Crime and Terrorism Community Involvement and Support Partylist (ACT-CIS) Representative Eric Go Yap, and Marino Representative Sandro Gonzales among many others.

First introduced to Congress in 2021, the proposed BIDA Act was a priority bill by the former President, Rodrigo Duterte, aimed at developing responsible tourism through the participation of local communities, including

¹ Torii, T., Masaaki, S., Mizuho, K., & Kitolelei, J., Tourism Development in Boracay Island and its Impacts on the Local Communities. ResearchGate (July 2011), https://www.researchgate.net/publication/279861756_Tourism_Development_in_Boracay_Island_and_its_Impacts_on_the_Local_Communities

² House Bill No. 9826 – An Act Creating the Boracay Island Development Authority (BIDA), <https://legacy.senate.gov.ph/lisdata/36300327311.pdf>

indigenous peoples in conserving biophysical and cultural diversity and through the creation of the proposed government-owned and controlled corporation to be known as BIDA.³ The said bill is positioned to carry out the declared policy for the sustainable development of Boracay Island, with the utilization of its natural resources and all development activities therein to be in strict conformity with all the laws on the utilization, conservation, preservation, and protection of natural resources and the environment.⁴

Section 3 of House Bill No. 9826 enumerates its development framework which includes:

1. Sustainable and balanced development;
2. Sustainable domestic and foreign investments;
3. Sustainable employment; and
4. Sustainable growth with environmental protection.

The said bill also emphasized the formulation of a comprehensive long-term Boracay Action Plan (BAP) for adoption and implementation in coordination with concerned national government agencies, as well as the assurance of prompt and accurate collection, analysis, and dissemination of all data that will provide for environmental protection and management.

Boracay Island's Struggle for Sustainable Tourism

Unlike many environmental laws in the Philippines that have a broader scope, the bill creating the Boracay Island Development Authority (BIDA) is, by all accounts, concentrated on Boracay Island - a small island that is part of the Municipality of Malay, Aklan, located at the northwest portion of Panay in Western Visayas.

Boracay Island is one of the famous local tourist destinations in the Philippines, with white sandy beaches stretching for four kilometers. The island is internationally famed for its beaches, thus bolstering the country's tourism. In 2022 alone, at least 1.75 million people visited Boracay according to data from the Department of Tourism (DOT). Domestic tourists, including foreigners living in the

³ Cervantes, F.M., Bill creating Boracay Island Dev't Authority gets House nod. Philippine National Authority (August 4, 2021), <https://www.pna.gov.ph/articles/1149377>

⁴ 18th Congress of the Philippines, 3rd Regular Session, H. No. 9826, <https://legacy.senate.gov.ph/lisdata/36300327311.pdf>

country, comprised the bulk of visitors at 1.59 million. Foreign tourists, on the other hand, reached 132,687 with most coming from South Korea and the United States.⁵

According to the Philippine Statistics Authority (PSA), data from the same year showed a spike in Aklan's significant economic growth due to Boracay's tourism aptitude. The PSA showed Aklan posted a growth of 22.5 percent, proving its imperative role not only in its municipality but also in the province as a whole.

Even with data supporting the island as a tourism hotspot, Boracay is also paralleled with serious environmental degradation issues due to the influx of tourists and poor implementation of policies for the protection of the island's natural resources. With tourism development, changes are evident in Boracay Island in terms of sand erosion, coastal pollution, and environmental changes such as the sporadic felling of timber. A wastewater treatment facility was built as a joint venture with Japan, and this facility was intended to keep pace with waste disposed of from various tourism operations. However, wastewater was not properly treated, and evidence of sulfide spilled over to the shorelines. This has resulted in the sand having a strange smell and implications for the future to remain negative.⁶

The Dire Enactment of Proclamation No. 475 and Its Drastic Changes

Due to the apparent environmental woes the island has undergone, several policies and interventions have already been made. Among the significant interventions by far that the government has imposed was Proclamation No. 475, issued on April 26, 2018, which declared a State of Calamity and temporary closure of Boracay Island to address environmental concerns, protect public health, and rehabilitate the island due to various environmental violations and degradation, including a high concentration of fecal coliform, insufficient sewer lines, illegal discharge of untreated wastewater, degradation of coral reefs, excessive solid waste generation, and illegal encroachment of structures on wetlands.⁷ The said proclamation is in pursuant to Republic Act No. 10121 (R.A. No. 10121) or the Philippine Disaster Risk Reduction and Management Act of 2010.

⁵ Inquirer.Net, DOT: Boracay welcomed 1.75 million tourists in 2022 (Jan. 27, 2023), <https://newsinfo.inquirer.net/1721727/dot-boracay-welcomed-1-75-million-Tourists-in-2022>

⁶ Torii, T., Masaaki, S., Mizuho, K., & Kitolelei, J., Tourism Development in Boracay Island and its Impacts on the Local Communities. ResearchGate (July 2011) https://www.researchgate.net/publication/279861756_Tourism_Development_in_Boracay_Island_and_its_Impacts_on_the_Local_Communities

⁷ Office of the President, Declaring A State Of Calamity In The Barangays Of Balabag, Manoc-Manoc And Yapak (Island Of Boracay) In The Municipality Of Malay, Aklan, And Temporary Closure of The Island As A Tourist Destination, Proclamation No. 475 s. 2018 (Apr. 26, 2018) (Phil.), <https://www.officialgazette.gov.ph/2018/04/26/proclamation-no-475-s-2018/>

Proclamation No. 475 was faced with several political and legal challenges, primarily on matters of the constitutional powers of the president to impose the said policy.

In the case of *Zabal v. Duterte*,⁸ the proclamation was argued to be an invalid exercise of legislative powers. The petitioners in the case posited that its issuance is, in truth, a law-making exercise since the proclamation imposed a restriction on the right to travel and therefore substantially altered the relationship between the state and its people by increasing the former's power over the latter. Simply stated, petitioners posited that Proclamation No. 475 partook of a law, the issuance of which is not vested in the President. As such, Proclamation No. 475 must be struck down for being the product of an invalid exercise of legislative power.

Furthermore, petitioners argued that Proclamation No. 475 is unconstitutional for infringing on the constitutional rights to travel in reference to the Philippine 1987 Constitution's right to travel provision and due process, which was averred to cover property rights. These rights include the right to work and earn a living. With the proclamation restricting the entry of tourists and non-residents into the island, petitioners claim that they, as well as all others who work, do business, or earn a living on the island, were deprived of the source of their livelihood as a result thereof.⁹

Despite the challenges, the Supreme Court held in favor of the respondent, declaring the proclamation a valid exercise of police power by the executive branch of government, and that there is an absence of a clear showing of grave abuse of discretion, unreasonableness, arbitrariness, or oppressiveness. The Court, therefore, chose to not disturb the executive determination that the closure of Boracay Island was necessitated by the environmental circumstances.

Through the above-mentioned policy, the Boracay Inter-Agency Task Force (BIATF) was established to evaluate the environmental state of Boracay Island and investigate possible violations of existing environmental and health laws, rules, and regulations. The task force was composed of the DOT, the Department of Environment and Natural Resources (DENR), and the Department of the Interior and Local Government (DILG).

From their investigation, the BIATF found several violations of environmental laws that include the lack of proper waste disposal by most commercial establishments and residences on the island, and illegal encroachment of structures on wetlands, where 937 identified illegal structures constructed on

⁸ *Zabal v. Duterte*, G.R. No. 238467, (February 12, 2019) (Phil.), <https://elibrary.judiciary.gov.ph/thebookshelf/showdocs/1/64872>

⁹ *Id.*

forestlands and wetlands and 102 illegal structures constructed on areas already classified as easements.

Implications on the Local Government Code of 1991

The bill proposing the establishment of BIDA is not categorically lodged as a statute for environmental protection and preservation alone but also involves taxation and regulation. This is where House Bill No. 9826 becomes a discrepant proposition to existing laws, specifically the Local Government Code of 1991.

Among the features of the BIDA bill is its provision with regard to its collection of taxes. According to Section 10, under the Taxes and Fees of the Boracay Island Development Zone:

(a) Any provision of existing law, rules or regulations to the contrary notwithstanding, all local and national taxes shall be imposed on business establishments operating and registered within the Development Zone: Provided, That the power to impose and collect real estate taxes shall be retained by the Provincial Government of Aklan and the Local Government of Malay, _____ respectively; _____ and _____

(b) The Authority may also impose fees, imposts, and assessments as may be deemed necessary for the sustainability of its operations. (HREP)

Through the aforementioned provision, it is clear that the bill imposes the right of the authority to collect taxes, specifically from business establishments. Meanwhile, in a further provision in Section 20, Relationship of the Authority and Local Government Units, the authority is granted to utilize the collected amount as per its administrative and rulemaking power.

Section 20 (a) provides that:

(a) The provisions of existing laws, rules and regulations to the contrary notwithstanding, the Authority shall exercise administrative powers, rulemaking powers, and shall be authorized to disburse funds, and to require the accreditation of enterprises to ensure compliance with the developmental, management, and protection plans in the Development Zone.

The above-mentioned provisions of the bill are in conflict with existing statutes in relation to taxation imposed upon businesses, as well as the involvement of local government units in utilizing their funds. The Local Government Code of 1991 provides in its Section 129 that local government units (LGUs) have the power to create their own sources of revenue and to levy taxes, fees, and charges subject to the provisions therein, consistent with the basic policy of local autonomy.¹⁰ The aforementioned sources of funds are expressly stated in the said code that they shall be accrued exclusively to the LGUs.

¹⁰ Local Government Code, Rep. Act No.7160 (Phil.).

The fact that a codified statute establishing the taxing power of LGUs is already operational renders the provisions of the BIDA bill, to actually acquire some of those taxing powers, hampering the Local Government Code provision. There is clear discord when a new bill intends to impart an exercise of the same taxing power of LGUs, taking the said units' capability to collect funds for their own. For local operations and policy implementation, the LGUs need the realization of the Local Government Code not only to supply for their own needs but also to empower them when it comes to governance and in providing social services.

Furthermore, based on the data previously stated in relation to the imperative role of Boracay as a source of economic growth, BIDA removes the province's opportunity to make use of its own funds from its own resources, supplied through the island's tourism aptitude. This, consequently, may impact not only the island's economic growth but also that of the province of Aklan.

Additional provisions that establish the LGUs to be the collectors and beneficiaries of taxes include Section 132 that stipulates the generation of revenue be exercised by the LGU and Section 137, which provides for the collection of franchise tax. The franchise tax provision delves into the imposition of taxes on businesses enjoying franchises.¹¹

Despite the scientific findings on the environmental condition of Boracay, there is still a need to ensure that environmental policies adhere to other statutes and observe already guaranteed rights and privileges, such as those designated by the Local Government Code of 1991.

Remedy: Strict Compliance of Environmental Laws

There are already several statutes intended for the protection of the environment as well as the assurance of ecological health, and many of them are very much applicable to Boracay and would aid in its preservation. The real problem is not the absence of laws but implementation.

Though noble as it may be, the BIDA bill is not the only solution to rectifying the environmental degradation the island is already experiencing. It's a matter of executing regulations and properly imposing penalties on environmental law offenders.

An example of a stronger implementation and compliance with a general mandate for environmental protection was Proclamation No. 475. There may have

¹¹ Local Government Code, Rep. Act No.7160 (Phil.).

been affairs surrounding its enactment and implementation, yet the closure became the model for sustainable tourism, and the success of the rehabilitation program was a potential springboard for establishing a culture of environmentally conscious tourism across the country.¹² It paved the way for other rehabilitation programs in other tourist destinations and presented stronger government intervention through upholding existing policies effectively in curtailing prevalent environmental problems. It clearly proves that the BIDA bill is not the only remedy for solving the island's condition.

Ultimately, it is instrumental to retain the strict observance of environmental laws in the province, and governments have already seen this opportunity to maintain compliance with the environment. The Environmental Management Bureau of Region 6 (EMB R6), for one, has already established its pursuit of the said cause, positioning itself to be relentless in its commitment to ensure that commercial establishments on the island comply with environmental laws and regulations.

As part of their ongoing efforts, EMB R6 recently conducted an on-site data validation initiative to update and harmonize its database of establishments on Boracay Island, which aligned with their pledge to collaborate with various stakeholders and government agencies, including the Department of Tourism and the Local Government of Malay, to ensure the protection of Boracay's unique environment.¹³ This process involves sending teams to physically visit each establishment on Boracay Island to collect essential information with the following multifaceted purpose:

- **Data Accuracy:** The primary goal is to ensure that the information on each establishment, including its environmental compliance, is accurate and up-to-date.
- **Collaboration with Tourism and Local Government:** As part of its commitment to harmonize data with other government agencies, EMB R6 is working closely with the Department of Tourism and the Local Government of Malay. By validating the data on commercial establishments, EMB R6 is actively contributing to a shared understanding of the island's environmental landscape.
- **Regulatory Oversight:** By having accurate data, EMB R6 can effectively monitor and regulate the activities of commercial establishments, ensuring that they adhere to environmental laws and regulations.
- **Enhanced Environmental Impact Assessment:** The results of this undertaking serve as a vital planning tool for assessing and mitigating the environmental effects of upcoming projects in Boracay.

¹² Oxford Business Group, The successful rehabilitation of Boracay Island in the Philippines leads the way for environmentally conscious tourism, (November 15, 2022), <https://oxfordbusinessgroup.com/reports/philippines/2019-report/economy/new-standard-the-success-of-the-rehabilitation-of-boracay-island-is-leading-the-way-for-environmentally-conscious-tourism>

¹³ *Id.*

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- Environmental Preservation: Ultimately, the On-Site Data Validation initiative serves the greater purpose of preserving Boracay Island's pristine environment. It allows for better control of pollution and sustainable development, reducing the environmental impact of commercial operations.

Conclusion

Legislation plays a key role in rectifying social ailments and resolving issues that not only concern socio-political conditions but also those of the environment. Among the unfortunate realities of it, however, is the lack of attention towards its implementation despite, in theory, they are already effective enough to solve environmental concerns. Due to the lack of outcomes from any of the existing environmental laws through the observation of the environment itself, many would see that it's the number of statutes enacted, not their implementation, as the cause of the problem. House Bill No. 9826 manifests this perspective.

Boracay Island is a pride of the Philippines' tourism, yet there is also no question in actuality that it has become a potluck of several environmental degradations and environmental law violations. There is no question about the necessity for interventions to solve its pending struggle for sustainable tourism, even after its closure through Proclamation No. 475. Thus, the momentum in taking direct action for its protection must not halt.

Regardless of the need, however, for intervention, it is imperative to guarantee that the intervention does not conflict with any rights and privileges already ascribed by existing and prevailing laws. Regrettably for the BIDA Bill, it fails to prevent this discrepant situation, specifically on the Local Government Code of 1991.¹⁴ The said bill's provision on stating its taxing power disputes numerous provisions already stipulated in the code; hence, Congress must not pursue its passage unless any stipulations for any possible disparities are resolved.

¹⁴ Local Government Code, Rep. Act No.7160 (Phil.).

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